



HOMEBUYERS NEVER HAD it as good as they did in 2021, after the second wave of the Covid-19 pandemic ended. Forced to stay indoors during the lockdowns, they flocked to the residential market in droves, many looking to buy larger homes—a result of prolonged periods of working from home.

There were also other factors that enticed homebuyers since late-2021, such as some of the lowest home loan interest rates in recent times and government sops like registration fee waivers and stamp duty cuts. Additionally, as the market was recovering from a prolonged depression, home prices had remained stable—encouraging buyers to invest.

Take Vinay Sharma, for instance. The IT professional used to reside in Gurugram, in a 2BHK rented apartment with his family. Since the pandemic led to him working from home, he chose to buy a 3BHK apartment in Noida. Apart from the lucrative interest rate, the work-from-home flexibility allowed him to choose Noida over costlier Gurugram, where his office is. Sharma was not just happy to have bought his dream home, he was even more delighted that his EMI outgo was just 35 per cent higher than the rent he paid earlier.

Such customer delight made realtors and homebuyers a happy lot so far, after a tumultuous past decade. For several years in the 2010s, homebuyers were hit by a spate of delayed projects and multiple other issues—even fraud by some developers—and buyer confidence was at a low. The introduction of the Real Estate (Regulation & Development) Act in 2016, followed by GST in 2017, restored the confidence somewhat. However, legacy issues continued to haunt the sector, keeping it in a downward spiral till the arrival of the pandemic. The revival in demand post-pandemic provided real-

tors with much-needed relief, while homebuyers made the most of the favourable conditions to buy a home.

But good times usually don't last long. And that is exactly what is happening now for both homebuyers as well as real estate developers. This is because come 2023, the market dynamics have changed significantly. Sops offered by different state authorities have run their course. Home loan interest rates have begun to surge—they are nearly at pre-Covid-19 levels—and developers are steadily raising prices of homes as raw material costs and the overall cost of construction have surged. “The fragile global supply chain, supply side shocks and soaring inflation had a cascading effect on raw material prices. The industry also faced issues of cartelisation and a migrant labour crisis since the onset of the pandemic. The withdrawal of fiscal stimulus like stamp duty waiver also resulted in a higher cost of acquisition,” says Niranjana Hiranandani, MD of realty major Hiranandani Group and National Vice Chairman of industry body NAREDCO.

The rising cost of borrowings has also added to the burden of developers. As a result, the real estate sector has witnessed an average increase of 5 to 8 per cent in property prices across key markets in India in the past one year, says Hiranandani.

The real cost of acquiring a home, however, has jumped much higher in the past three quarters. This is because of a number of reasons. A key factor is rising home loan interest rates. Record low home loan rates had brought buyers back to the residential market. But with the Reserve Bank of India (RBI) raising the repo rate, or the rate at which it lends to banks—to the tune of 2.25 per cent since May 2022—average home loan EMIs have jumped by more than 18 per cent (See graphic *‘Lighter Wallets’*). According to Hiranandani, the consecutive hikes in interest rate have “led to increased cost of credit, construction and consumption with proportionate impact on the operative profit margins of the developers. Also, the market witnessed consolidation trends in order to deleverage and maintain a healthy balance sheet”. The affordable housing segment—homes priced below ₹45 lakh—that operates on thin margins, has been hit the hardest because of the rising costs of development, he says.

THE SHIVERS HAVE been felt by leading players in the affordable housing space. According to Pradeep Aggarwal, Founder & Chairman of Signature Global—one of the leading affordable housing players in the country—while 2022 has been a good year in terms of home sales, rising costs are becoming a major concern. “In the past couple of years, the cost of construction has increased significantly. Margins have collapsed drastically, especially in the